CONFIDENTIAL
Enron Corp.
Case No. EC-2002-01038
Doc No. E73ACA240
Date: 01/15/2003
ENRON CORP. - PRODUCED PURSUANT TO FERC SUBPOENA.
SUBJECT TO PROTECTIVE ORDER. CONFIDENTIAL TREATMENT REQUESTED.
RELEASE IN PART

From: Enron Announcements <enron.announcements@enron.com>
Sent: Wed, 8 Nov 2000 08:59:00 -0800 (PST)
To: All Enron Worldwide <all.worldwide@enron.com>
Subject: Organizational Changes

We are making a number of significant organizational changes. These changes are intended to accomplish four key objectives:

First, we need to realign all our wholesale businesses around the successful business model developed over the last decade in North America and Europe. This model relies on extensive physical and transactional networks built around a relatively small strategic asset position.

Second, we need to significantly streamline corporate reporting relationships. Particularly with Joe Sutton■,s departure, the ability to directly manage the day-to-day activities of 15 independent business units has become increasingly difficult.

Third, we need to accomplish these changes without, in any way, compromising the ongoing profitability of all our businesses and without delaying or hindering our effort to monetize a significant portion of our lower-yielding asset positions.

And fourth, as always, we need to take advantage of the reorganization to redeploy our talent into our highest value opportunities.

ENRON WHOLESALE SERVICES

Today, we are forming Enron Wholesale Services (EWS) which will consolidate our global wholesale businesses. The closer alignment of our wholesale businesses will accomplish the following: (1) enhanced communication and coordination across business units, (2) more rapid deployment of people to higher valued opportunities, (3) more effective prioritization of opportunities across the wholesale business, and (4) more rapid extension of Enron■,s wholesale business model and capabilities into new industries and markets.

Enron Wholesale Services will include our current North American, European (including Japan and Australia), Global Markets, and Industrial Markets operations, and will be expanded to include Enron■,s Net Works business unit as well as a new unit ■) Enron Global Assets. In addition, Enron■,s merchant businesses outside of North America and Europe will be integrated into this new structure as described below.

Mark Frevert, currently Chairman of each of our wholesale units, will assume

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the role of Chairman and CEO of Enron Wholesale Services. Greg Whalley, [REDACTED] B6

Providing further impetus for these organizational changes, several of our international business unit leaders have elected to move into new leadership positions:

Rebecca McDonald, currently CEO of Enron APACHI, will join EWS as President and CEO of Enron Global Assets. Enron Global Assets will have responsibility for managing all of Enron■,s existing energy asset portfolio outside of North America and Europe. Joining Rebecca in the Office of the Chairman as COO will be Jim Hughes, currently COO of Enron APACHI. Rebecca and Jim will report to the EWS Office of the Chairman.

Sanjay Bhatnagar, currently CEO of Enron India, has joined EBS as CEO for the Middle East and Asia region. Sanjay will be responsible for building our broadband business in this region and the current EBS team in this region will report to Sanjay. In this role, Sanjay will report to the EBS office of the Chairman. In addition, Sanjay will continue to remain responsible for Enron■,s wholesale energy business in India and will transition this business into Enron Global Assets in the near future.

Diomedes Christodoulou, currently Co-CEO of Enron South America, has joined EBS as Chief Commercial Officer. Diomedes will be located in London and will focus his origination activities on global opportunities, with near term attention to the wholesale and enterprise sectors. Diomedes will report to the EBS Office of the Chairman.

Jim Bannantine, currently Co-CEO of Enron South America, will be joining EES to lead EES■, commercial efforts outside North America and Europe. In order to ensure a smooth transition for our South American businesses and to facilitate our asset sales activities, Jim will remain in South America for at least the next several months and continue to serve as CEO of Enron South America. Throughout the transition, Jim will report to Cliff Baxter and to the Office of the Chairman of Enron Wholesale Services. Following the transition, Jim will join EES.

In addition to these changes in our international asset operations activities, we are making the following changes in our merchant wholesale businesses and the commercial support functions:

Enron Net Works
Louise Kitchen will assume Greg■,s previous responsibilities as President and CEO of Enron Net Works, reporting into Mark and Greg.

Enron Americas
Concurrent with the transfer to Enron Global Assets of responsibility for operating Enron■,s South and Central America asset base, all trading, marketing, and new asset development activities in these regions will report into a new entity, Enron Americas. Enron Americas will have responsibility for all wholesale merchant businesses across North, Central and South America. Dave Delainey, President and CEO, and John Lavorato, Chief Operating Officer will comprise the Office of the Chairman for Enron Americas.

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and Japan, and Enron Metals, remains unchanged under the leadership of John Sherriff, President and CEO, and Michael Brown, Chief Operating Officer.

Enron Global Markets
Enron Global Markets, under the leadership of Mike McConnell, President and CEO, and Jeff Shankman, Chief Operating Officer, will continue to have responsibility for Enron■,s Middle East and LNG operations. With the exception of Ecoelectrica in Puerto Rico, all operating power plants and associated personnel in the Caribbean and Central America will transfer to Enron Global Assets. Enron Global Markets will also continue to manage the commodity businesses in crude and products, coal, weather, insurance,